

Section VI

³⁹Specific Directions applicable for Non-Banking Financial Company – Micro Finance Institutions (NBFC-MFIs) and Microfinance Loans of other NBFCs

The instructions contained in **Section VI** for NBFC-MFIs and microfinance loans of other NBFCs are in addition and not in substitution to the other relevant instructions contained in these Directions.

Prudential Regulations

116.1 Capital Requirement

116.1.1 NBFC-MFIs shall maintain a capital adequacy ratio consisting of Tier 1 and Tier 2 capital which shall not be less than 15 percent of its aggregate risk weighted assets of on-balance sheet and of risk adjusted value of off-balance sheet items. The total of Tier 2 capital at any point of time, shall not exceed 100 percent of Tier 1 capital. The treatment to on-balance and off-balance sheet assets for capital adequacy shall be as provided in paragraph [84](#) and [85](#) of the Directions respectively. NBFC-MFIs shall also adhere to provisions in [paragraph 86](#) of the Directions on treatment of deferred tax assets and deferred tax liabilities for computation of capital.

116.1.2 For loans guaranteed under any existing or future schemes launched by CGTMSE, CRGFTLIH and NCGTC, NBFC-MFIs shall assign risk weight as per the instructions specified in [Note \(4\)](#) of [paragraph 84](#) of [Chapter IX](#) of these Directions.

116.2 Asset classification and provisioning norms

NBFC-MFIs shall adopt the following norms for their microfinance loans:

116.2.1 Asset Classification Norms

- (i) Standard asset means the asset in respect of which, no default in repayment of principal or payment of interest is perceived and which does not disclose any problem nor carry more than normal risk attached to the business;
- (ii) Non-performing asset means an asset for which, interest/principal payment has remained overdue for a period of more than 90 days.

³⁹ Vide circular [DoR.FIN.REC.95/03.10.038/2021-22](#) dated March 14, 2022.

116.2.2 Provisioning Norms

(i) For non-performing assets related to microfinance loans of NBFC-MFIs, provisioning norms shall be as below:

The aggregate loan provision to be maintained by NBFC-MFIs at any point of time shall not be less than the higher of

(a) 1 percent of the outstanding loan portfolio or

(b) 50 percent of the aggregate loan instalments which are overdue for more than 90 days and less than 180 days and 100 percent of the aggregate loan instalments which are overdue for 180 days or more.

(ii) If the advance covered by Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) guarantee becomes non-performing, no provision need be made towards the guaranteed portion. The amount outstanding in excess of the guaranteed portion shall be provided for as per provisioning norms as mentioned in [paragraph 15](#) of these Directions.

(iii) Standard assets provisioning of microfinance loans of NBFC-MFIs shall be in accordance with instructions contained in [paragraph 16](#) and [88](#) of these Directions.

116.3 All other provisions contained in [Chapter IV](#) and [Chapter IX](#) of these Directions, where not contradictory to the contents of this paragraph, shall be applicable to NBFC-MFIs.

117. Channelizing Agents for Schemes operated by Central/State Government Agencies

117.1 NBFC-MFIs acting as Channelizing Agents for Schemes operated by Central/State Government Agencies shall abide by the following guidelines:

Loans disbursed or managed by NBFC-MFIs in their capacity as channelizing agents for Central/State Government Agencies shall be considered as a separate business segment. These loans shall not be included either in the numerator (microfinance loans) or the denominator (total assets) for the purpose of determining compliance with the minimum threshold of microfinance loans.

117.2 NBFC-MFIs may act as Channelizing Agents for distribution of loans under special schemes of Central/State Government Agencies subject to following conditions:

- (i) accounts and records for such loans as well as funds received/receivable from concerned agencies shall be maintained in the books of NBFC-MFIs distinct from other assets and liabilities, and depicted in the financials/final accounts/balance sheet with requisite details and disclosures as a separate segment;
- (ii) such loans shall be subject to applicable asset classification, income recognition and provisioning norms as well as other prudential norms as applicable to NBFC-MFIs except in cases where the NBFC-MFIs does not bear any credit risk;
- (iii) all such loans shall be reported to Credit Information Companies to prevent multiple borrowings and present complete picture of indebtedness of a borrower.

118. Geographical Diversification

NBFC-MFIs shall approach their Boards for fixing internal exposure limits to avoid any undesirable concentration in specific geographical locations.

119. Formation of SRO

All NBFC-MFIs shall become member of at least one Self-Regulatory Organization (SRO) which is recognized by the Reserve Bank and shall also comply with the Code of Conduct prescribed by the SRO. Further, the SRO holding recognition from the Reserve Bank shall have to adhere to a set of functions and responsibilities as mentioned in [Annex XXVI](#). The same may be modified by the Reserve Bank from time to time to improve the efficiency of the sector.

120. Monitoring of Compliance

The responsibility for compliance to all regulations prescribed for NBFC-MFIs lies primarily with the NBFC-MFIs themselves. The industry associations/SROs shall also play a key role in ensuring compliance with the regulatory framework. In addition, banks lending to NBFC-MFIs shall also ensure that systems, practices and lending policies in NBFC-MFIs are aligned to the regulatory framework.

121. Directions for Microfinance Loans

Microfinance loans of NBFCs shall be guided by the [Reserve Bank of India \(Regulatory Framework for Microfinance Loans\) Directions, 2022](#), as amended from time to time. An

NBFC, which does not qualify as an NBFC-MFI shall extend microfinance loans, which in aggregate does not exceed 25 percent of its total assets.